(2021) formally reject the use of year-fixed effects in this setting. Robust standard errors are clustered at the country level, and our specifications employ negative binomial models because of the overdispersion of our count variables.

The primary independent variable is again a binary indicator of whether a country's executive leadership was populist, derived from Funke, Schularick, and Trebesch (2023). We include as controls economic and political variables relevant to each IO's context, following the literature on each (Vreeland 2003, 2005; Stone 2011). For the IMF, controls include GDP per capita, trade openness, debt-to-export ratios, FDI flows, democracy scores (Polity2), institutional checks on executives, US aid receipts, UNSC membership, and ideological alignment with the United States on votes in the UN General Assembly. For the World Bank, additional controls include Chinese aid receipts, colonial relationships with the EU president's home country, and inflation rates. IMF-specific controls include program type (e.g., PRGF loans), program duration, and a country's IMF quota.[9]

In subsequent tests, continuous variables are standardized for ease of interpretation and to assist the convergence of the negative binomial models.[10] All independent variables are lagged by one year except program characteristics in the IMF case. We opt for a one-year lag because there is a temporal gap between when a country applies for assistance and when loan terms are agreed upon, which is when projects first appear in the data. To address missing data, economic covariates were imputed using multiple imputation, following best practices in the field (Lall 2016).[11]

The results, summarized in tables 5.1 and 5.2, indicate that populist leaders receive significant breaks in conditional lending: Regarding IMF lending, populist-led states experienced a 35 percent reduction in the number of conditions and a 20 percent reduction in policy areas covered by these conditions in our data. These results are statistically significant at the 0.01 level, underscoring the bargaining power of populist leaders in negotiations with the Fund.